TEACHER GUIDE

SQA Higher Business Management
(C810 76)

# Cash flow

Management of finance
**Cash budgeting: cash flow issues and solutions**



A revision lesson. Pupils run a car dealership in firms of four and revise cash flow on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

**Staff · Sabotage** from Round 2



## Finance

**Capital & Loans · Investments**



## Sales & Marketing

**Marketing**



## Operations

**Seasonal stock**

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Net cash flow today

Round 1

They pay a deposit today.

**Net cash flow today? Money out is minus.**

| | |
|---|---|
| You buy them today | **£34,400** |
| Customer's price | **£39,700** |
| Customer pays today | **10%** |

**ANSWER**

**−£30,430**

10% × £39,700 = £3,970;
£3,970 − £34,400 = −£30,430

**Why:** The deposit covers only £3,970 of the £34,400 you pay today.

## 2 Why cash is short

Round 1

Profit is high, but the bank says you are over your overdraft limit.

**Which two best explain the cash shortage?**

- **A** Too much cash tied up in stock
- **B** More buyers pay by card
- **C** Suppliers give 60 days to pay
- **D** Gross profit margin has fallen
- **E** Customers are slow to pay

**ANSWER**

**✓ Too much cash tied up in stock**
**✓ Customers are slow to pay**

**Why:** Slow payers and stock hold cash back; card sales and supplier credit help.

## 3 Cash timing order

Round 2

Cars wait 20 days before sale. Supplier paid 30 days after delivery; customer 60 days after sale.

**Put these in time order, first to last?**

- **A** You pay the supplier
- **B** The cars are sold
- **C** The customer pays you
- **D** The cars arrive

**ANSWER**

**1. The cars arrive**
**2. The cars are sold**
**3. You pay the supplier**
**4. The customer pays you**

**Why:** Day 0 arrive, day 20 sold, day 30 supplier paid, day 80 paid: a 50-day gap.

# Topic tasks

## 4 Month-end balance

Round 2

They pay half in month 2.

**Balance at the end of month 2?**

| | |
|---|---|
| Set aside for this deal | **£15,900** |
| Month 1: you buy the cars | **£51,150** |
| Running costs, each month | **£780** |
| Customer's price | **£62,000** |

**ANSWER**

**−£5,810**

£15,900 − £51,150 − 2 × £780 + £31,000 = −£5,810

**Why:** Month 2 is still short: the other half comes in month 3.

## 5 Factor or overdraft

Round 3

A customer owes you £40,000 in 60 days. A factor pays you now for 4%; an overdraft costs 12% a year.

**Which is cheaper, and why?**

**A** The factor

**B** The overdraft

**ANSWER**

✔ **The overdraft**

**Why:** 4% of £40,000 is £1,600; 12% a year for 60 of 365 days is about £790.

## 6 Bank covers the gap

Round 3

The bank covers the gap.

**Balance at the end of month 2?**

| | |
|---|---|
| Set aside for this deal | **£16,400** |
| Month 1: you buy the cars | **£42,000** |
| Charge on month 1 overdraft | **2%** |
| Month 2: customer pays | **£52,050** |

**ANSWER**

**£25,938**

Month 1: −£25,600; charge 2% × £25,600 = £512; −£25,600 − £512 + £52,050 = £25,938

**Why:** Waiting for the customer cost £512 in bank charges.

# Final questions

Each pupil answers 6 final questions on cash flow. They come from these 8 questions.

Then each pupil writes one short answer: “Evaluate factoring against an overdraft for this dealer.”

1 A dealership expects £180,000 cash inflows, £215,000 cash outflows and an opening cash balance of £50,000 next month. What is the forecast closing cash balance?
✔ **£15,000**

2 A dealership starts April with £28,000 cash, expects £92,000 of cash receipts and £108,000 of cash payments. What closing balance should its forecast show?
✔ **£12,000**

3 A dealer buys £70,000 of stock on 30-day trade credit and sells it for cash after 12 days. What is the main short-term cash-flow benefit?
✔ **Cash is received before the supplier payment falls due**

4 A workshop forecasts opening cash of £22,000, receipts of £64,000 and unavoidable payments of £91,000 this week. What is the forecast cash shortfall?
✔ **£5,000**

5 A flood destroys uninsured stock while supplier invoices remain due. Which statement best explains the immediate finance problem?
✔ **The stock is lost, but the debt remains**

6 A dealer starts a campaign month with £40,000 cash, expects £85,000 receipts and £96,000 operating payments, plus £18,000 campaign spend. What is forecast closing cash?
✔ **£11,000**

7 The CFO forecasts opening cash of £65,000, receipts of £140,000, supplier payments of £118,000 and payroll of £52,000. What is closing cash?
✔ **£35,000**

8 A dealer opens the month with £52,000, expects receipts of £88,000 and payments of £119,000. What is the closing balance?
✔ **£21,000**